

Course Admin

Next Class – Persuasion (I)

- Video: My interview with Simmons & Simonsohn
- Reading: Heath & Heath, Cialdini
- Write a persuasive email (by 8am Monday)

Introductory Video

- Email invitations to evaluate 7 videos went out Tuesday
- Evaluations due 5pm Sunday

Leverage Inventory

- >=8 evaluations + self assessment due EOD next Thur (13th)

Negotiation exercise (outside of class)

- 7% of your course grade
- Groups posted tomorrow
- Results due before class 10 (Nov 19)

Networks Topic Outline

Monday: Networks I

- Social Capital introduction
- Weak ties
- Structural holes – theory
- Structural holes – practice

Wednesday: Networks II

- **Reciprocity**
- Heidi Roizen case
- Practitioner tips
- Wrap-up

Resource Flow in Networks: Reciprocity

Last class: Resource dependence

But the value of controlling resources also depends on how you control them

- Obvious: Bargain, make trades, i.e., quid pro quo.
  - Process of exchange (transaction)
- Not so obvious: Generosity, unrequested favors, i.e., quid sine quo
  - Invokes reciprocity norm – yields indebtedness

Resource Flow in Networks: Reciprocity

Deeply ingrained to treat others the way they treat us

- Generous to those who are generous to us
- Indifferent to those who are indifferent to us
- Hostile to those who are hostile to us

Academic history

- History in sociology
- Adam Grant's Give & Take
- Primatology (cf. de Waal's Chimpanzee Politics)

Reciprocity Example



"Early in his career [Earnest] Shackleton became known as a leader who put his men first. This inspired unshakable confidence in his decisions, as well as tenacious loyalty. During the march back from 88° south, one of Shackleton's three companions, Frank Wild, who had not begun the expedition as a great admirer of his, recorded in his diary an incident that changed his mind forever. Following an inadequate meal of pemmican and pony meat, Shackleton had privately forced upon Wild one of his own biscuits from the four that he, like the others, was rationed daily."

Reciprocity Example

"I do not suppose that anyone else in the world can thoroughly realize how much generosity and sympathy was shown by this," Wild wrote, underlining his words. "I DO by GOD I shall never forget it. Thousands of pounds would not have bought that one biscuit."





Reciprocity

Reciprocity (vs. Exchange)

- More emotion-laden – e.g., source of loyalty

Rx: From quid pro quo to loyalty

- When the "gift" is (the more the better of):
  - Costly – a credible sacrifice by giver
  - Intended unselfishly – not tied to repayment
  - Unexpected – not directly solicited by recipient
  - Difficult to repay "in kind"

Of course, the best way to be perceived as generous is…

- …to actually be generous!

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Heidi Roizen



Roizen case summarized

Stanford, 1979, creative writing

First job: Tandem Computer, writing the company newsletter

- Sat in monthly top management meetings

Stanford GSB

T/maker - 1983, a startup her brother founded

- Early competitor to Lotus 1/2/3 & Visi-calc
- ClickArt personal publishing
- Sold to Deluxe in 1993

Board of Software Publishers Association

Apple – 1996, VP of worldwide developer relations

- 300 staff
- 12,000 external software developers

Softbank – VC, 1999, one of 5 general partners

Roizen discussion

Roizen survey

Roizen is TOO INSTRUMENTAL in her relationships.

Strongly disagree	17 respondents	8 %
Disagree	127 respondents	62 %
Neither agree or disagree	35 respondents	17 %
Agree	24 respondents	12 %
Strongly agree	2 respondents	1 %



Roizen survey

Mixing personal & professional is DIFFICULT.

Strongly disagree	12 respondents	6 %
Disagree	82 respondents	40 %
Neither agree or disagree	23 respondents	11 %
Agree	76 respondents	37 %
Strongly agree	12 respondents	6 %



Roizen – A few highlights

"If a relationship is built on performance and consistency, you can actually get by with fewer interactions."

Dinner party (and beyond) rule of thumb: create groups where you don't know ½ the people

Practical advice: Email new contacts the next day

- Commitment device, and ensures contact before needing them

Ability to say no, and nicely.

- 2 hours/day on companies she rejects
- "Important to maintain good relationships."

"It's easier to get to know people when they're not famous."

Roizen – A model networker

Level 1 (Beginner): Avail yourself of opportunities when presented

- E.g., Roizen as newsletter editor in 1st job
- Requires recognition – not everyone does this

Level 2 (Intermediate): Create situations that provide opportunities

- E.g., Roizen's dinner parties
- Takes energy, thoughtfulness and intent

Level 3 (Advanced): Expose yourself to situations where opportunities may arise

- E.g., Roizen on board of SPA; gala seating chart
- Create serendipity

Monday's survey

What level of networker are you currently?

Level 0: Not much networking	7 respondents	3 %
Level 1: Take advantage of opportunities when they present themselves.	111 respondents	49 %
Level 2: Create opportunities	77 respondents	34 %
Level 3: Expose myself to serendipity (take risks that may or may not pay off)	32 respondents	14 %



Breakout Group Discussion

How can you network more effectively, while maintaining (or even strengthening!) your integrity?

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Practitioner Tips

Roizen offers many practical tips

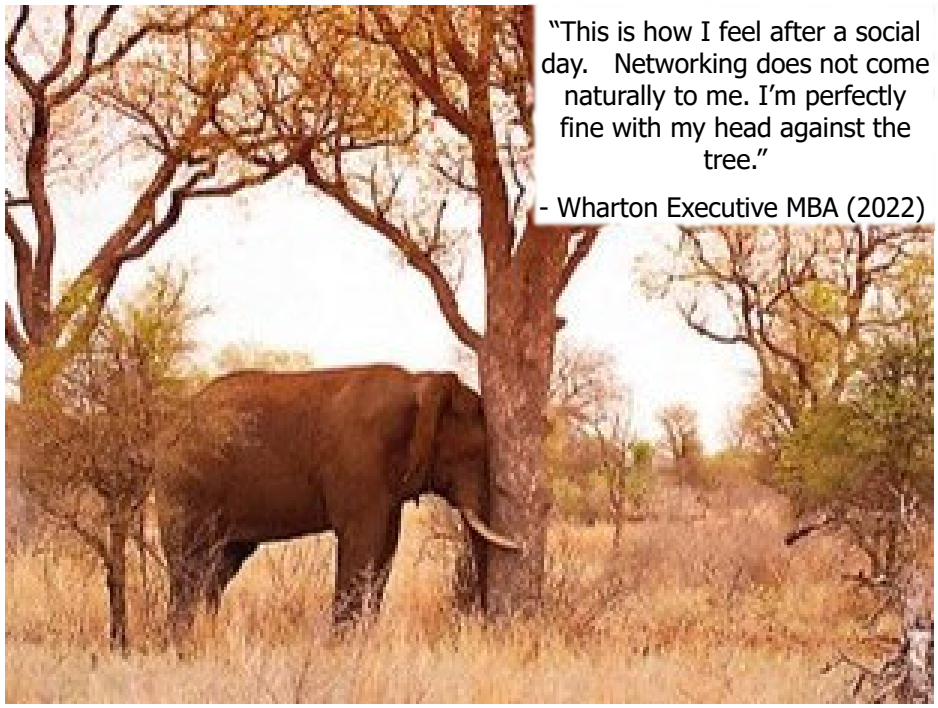
Other strong networkers do too

Idea is not to use all these, but to add <u>something</u> to your repertoire

Many of these aimed not just at cultivating a network, but doing so with integrity.

⇒ **You don't have to choose between being genuine and having a good network**





"This is how I feel after a social day. Networking does not come naturally to me. I'm perfectly fine with my head against the tree."

- Wharton Executive MBA (2022)

Cain's "Networking" Tips for Introverts

To connect at a deeper level…

- Collect kindred spirits
- Focus on what you're doing – not what you're getting, or even giving.
- Give the speech
- Prepare a few talking points
- Set a quota
- Choose your people
- Pace yourself, and be strategic

Related Rx: "Get to substance quickly"

From a former student:

"Building and maintaining informal networks does not come naturally to me at all. I'm more task-oriented than relationship-oriented. The Heidi Roizen case gives me some good tips that work for me, and that I've tried out. One is getting quickly to substance. I have the benefit of working on the same floor as my CEO. I see him around occasionally, but have always kept things to small talk because I don't want to give the impression that I'm trying to weasel myself into someone in power liking me. But I don't like small talk, and you know what: I don't think he does, either. The Heidi case made me realize I should get to substance more quickly, even in short interactions, and that it doesn't have to be the "weasely" kind. This week, when we had a few moments together waiting for the elevator, I picked up quickly on something of substance - he mentioned his relationship with Wall Street analysts as we had our earnings call yesterday - and we spent the next five minutes talking about that. I wasn't able to help him in any way, other than asking some thoughtful questions and letting him vent a bit. But it feels like a good start; it made me more comfortable having get-quick-to-substance conversations with him and others without feeling like I'm only doing so for my own benefit."

"Relationship First" interview



Some notable bits from Schuppan

Keeps lists
Focuses on mutual benefit
The value of curiosity

"Great networkers make everybody feel as important as the only person in the room."

"It's better to sell when you don't need to sell."

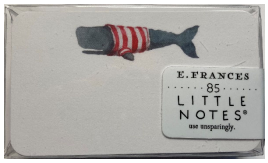
"I don't live my life efficiently."

"Simple being available is a differentiated tactic."

Related Rx: "Little Notes"

Drop people notes when you think of them

- We think of others every day
  - Prompted by a song, a restaurant, a beer, a venue, etc.
- Easy reason to drop them a note
  - Totally organic, genuine
  - No agenda, no ask
  - Takes <5 minutes
- Refreshes your relationship
  - Attention is a scarce resource, and memory decays
- Everyone loves getting these notes!



AMERICAN PSYCHOLOGICAL ASSOCIATION

Journal of Personality and Social Psychology: Interpersonal Relations and Group Processes

© 2022 American Psychological Association
ISSN: 0022-3514

https://doi.org/10.1037/pspi0000402

The Surprise of Reaching Out: Appreciated More Than We Think

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People are fundamentally social beings and enjoy connecting with others. Sometimes, people reach out to others—whether simply to check-in on how others are doing with brief messages or to show that they are thinking of others by sending small gifts to them. Yet, despite the importance and enjoyment of social connection, do people accurately understand how much other people value being reached out to by someone in their social circle? Across a series of preregistered experiments, we document a robust underestimation of how much other people appreciate being reached out to. We find evidence compatible with an account wherein one reason this underestimation of appreciation occurs is because responders (vs. initiators) are more focused on their feelings of surprise at being reached out to. A focus on feelings of surprise in turn predicts greater appreciation. We further identify process-consistent moderators of the underestimation of reach-out appreciation, finding that it is magnified when the reach-out context is more surprising: when it occurs within a surprising (vs. unsurprising) context for the recipient and when it occurs between more socially distant (vs. socially close) others. Altogether, this research thus identifies when and why we underestimate how much other people appreciate us reaching out to them, implicating a heightened focus on feelings of surprise as one underlying explanation.

Keywords: appreciation, social relationships, surprise, gifts, prediction

Supplemental materials: https://doi.org/10.1037/pspi0000402.supp

A theme among great networkers: Cultivate

Bruce Feldman, college football writer/analyst, renown for his relationships with coaches.



Wharton Moneyball/SiriusXM interview, November 2020:

Q: How do you simultaneously cultivate relationships that are genuinely authentic and yet professionally advantageous?

A: Cultivate is a great word. It's like a garden. You have to water it, you have to keep it going. **I check in with people even if I don't need anything from them.**

Related Rx: "No hidden agendas"

Takes the queasiness out of networking

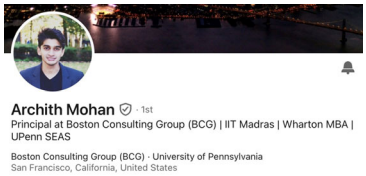
As much as possible:

- Meet people agenda-free, or
- If you have an agenda, let them know.

Overall: Take a wider lens

From a student's final project in 2019:

"Meeting someone isn't one step, it's three."



1) Prep (do *something*)

- Internet
- Past emails
- Discuss with others
- Reflection/notes

2) Actual meeting

3) Follow-up

- Do the thing you said you'd do
- Some kind of "little note"

Networks Topic Outline

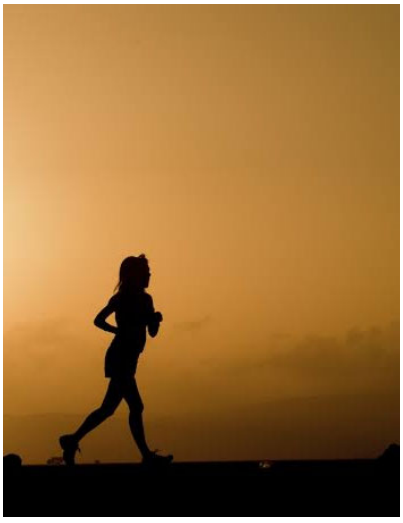
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Common Mistakes



1) Not investing enough in relationships

- We're busy, with much more urgent matters!
- When long-term benefits outweigh short-term costs, we need policies to guide behavior. E.g.,
  - Savings
  - Exercise
  - Healthy eating
- Rx: Invest more than feels convenient at the time.

Common Mistakes

2) Spending too much time with "birds of the same feather" (homophily)



Human nature, serves many purposes, and has a time and place.

Tends to be the inertial response, so left to our own devices we overdo it.

Presents huge opportunity and point of differentiation.

Common Mistakes

3) Waiting to network until you have an objective

- Should be "way of life", rather than a means to an end



Back to Monday's opening questions…

Connects to some general questions

Should I go to the gala?
- I.e., How much should I network?

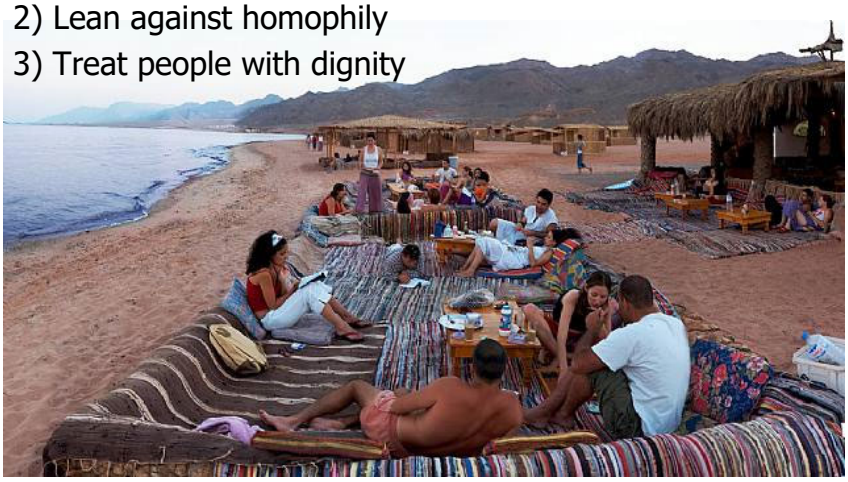
Who should I sit with?
- I.e., what should my network look like?

What am I going to talk about?!
- I.e., how do I build relationships?

SSF, Fall 2021, Massey 6 Class 3 - Networks

…Our simple answers/recipe

1) Invest more in relationships than is convenient
2) Lean against homophily
3) Treat people with dignity



Endnotes

General

- Original "structural hole" lecture developed in collaboration with Richard Larrick & Yuval Rottenstreich
- Joel Podolny, "Building Effective and Efficient Personal Networks", Faculty Seminar Series, Stanford Business School

Resource Dependence: Pfeffer, Chapter 5.

Structural Holes: Burt, R. S. (1992). Structural holes: The Social Structure of Competition. Cambridge: Harvard University Press.

Strength of Weak Ties: Granovetter, M. (1995). Getting a Job: A Study in Contacts and Careers, University of Chicago Press.

Shackleton: Caroline Alexander, Endurance, 1998.

Email data: Adam Kleinbaum, Toby Stuart & Michael Tushman, "Communication (and Coordination?) in a Modern, Complex Organization," 2008.

Gingrich quote: John Barry, 1989. The Ambition and the Power. The Fall of Jim Wright: A True Story of Washington, p545.

Managerial Time Spent on Networks: Kotter, J. (1982). What Effective General Managers Really Do. HBR.

Mentor Study: Baron, J. & Podolny, J. (1997). Relationships and Resources: Social Networks and Mobility in the Workplace, American Sociological Review.



Epstein and finding common ground

He's always had a deep sense of empathy, of knowing what other people are feeling. For most of his life, he's reflected the energy of the room he's in, able to shape-shift, or more accurately, not able to not shape-shift. If he's talking with Kevin Millar or John Lackey, he can be just as filthy as the crustiest big league ballplayer. With rock stars, he can talk eloquently about the challenges and risks of fame, or really get into discussions of gear. With analytics experts, he can go deep on simulation methodology. He can talk Nantucket real estate with millionaires, yachts with billionaires and reality shows with the interns. "I don't think I'm a chameleon," Epstein says one night. "I can feel where people are coming from, what makes them tick, where they are vulnerable, what makes them feel good about themselves. I get just as much out of it as they do. I love connecting."



First Round Review

How to Become Insanely Well-Connected

February 21, 2017

Chris Fralic's "Networking" Tips

Making Memorable Connections

- Convey genuine appreciation
- Listen with intent
- Use humility markers
- Offer unvarnished honesty
- Blue-sky brainstorm
- End with optimism
- Don't fake it till you make it

Do's

Keep "dream contact list ready

Craft low-lift requests

Follow-up & follow-through

Make own system for keeping in touch

Special-Ops level recon

Get to "Zone of Indifference"

Don'ts

Ambush people (ask first)

Reach out only when you need something

Lose track of your response rate